

Stride Inc

LRN US Equity · Company Research · As of 23 Aug 2026

Consumer Defensive · Education & Training

In Brief

The shares trade at the 7th percentile of their own ten-year cash-flow multiple, 53% below their high, on a business the filings support as narrow-moat. At this multiple the slowdown is priced as permanent. The swing factor is the next reported period.

- Revenue has compounded at +11% a year over 3 reported years, without a single down year.
- At the ten-year median multiple, today's price implies free cash flow 36% below the current level. If cash flow instead holds, the shares are worth 57% more.
- An independent model finds no moat and places the shares 42% below its fair value estimate as at 15 May 2026.
- The shares sit 53% below their all-time high.
- The advantage rests on Scale Economies and Cornered Resource, an overall narrow moat.
- 2 of 4 analysts rate the shares a buy, on a target implying +47% from 80.29.

Key Statistics

Rating	Buy
Target Price, Multiple Reversion	USD 123.83
Target Range (Quartile Multiples)	USD 92.88 - USD 154.19
Implied Return	+57%
Rating if the Multiple Recovers Only to Its 25th Percentile	Hold (+17%)
Share Price	USD 79.09
52-Week Range	USD 61.02 - 169.81
Market Capitalisation	\$3.74B
Shares Outstanding, Fully Diluted	47.3M
Shares Outstanding, As Reported	41.5M
Dilution Not in the Reported Count	+14.1%
Cash Less Long-Term Liabilities	\$444M
Long-Term Liabilities / Operating Income	1.1x
Price / Free Cash Flow	9.8x
Drawdown From 52-Week High	-53.4%
Ten-Year Return, Multiple of S&P 500	1.9x

Financial Summary

Revenue has compounded at +11% a year over 3 reported years, without a single down year.

	FY23	FY24	FY25	FY26	Next FY (cons.)
Revenue growth		+11.0%	+17.9%	+4.7%	+6.6%
Revenue (m)	1,837	2,040	2,405	2,518	2,684
Gross profit (m)	647	764	944	951	
Operating income (m)	165	250	420	451	
Net income (m)	127	204	288	338	
Free cash flow (m)	137	217	373	355	
Gross margin	35.2%	37.4%	39.2%	37.8%	
Operating margin	9.0%	12.2%	17.4%	17.9%	
Free cash flow margin	7.4%	10.6%	15.5%	14.1%	
Return on capital employed	12.5%	16.5%	19.8%	21.1%	

The latest year grew +5%, well below the +11% multi-year rate.

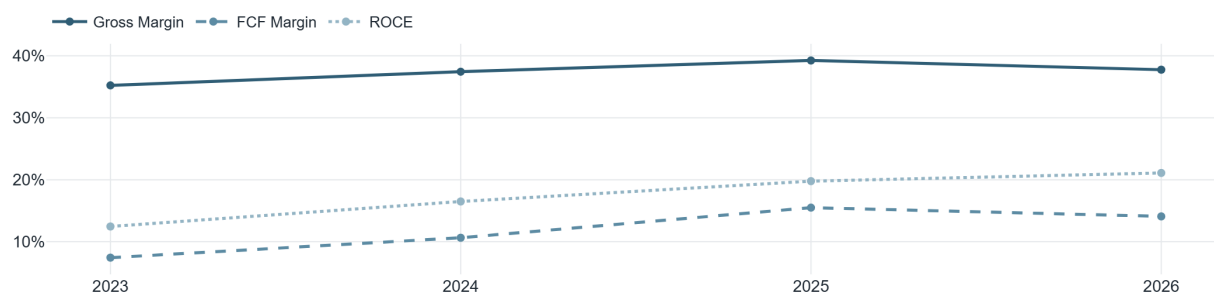


Figure 1: Margins and Return on Capital

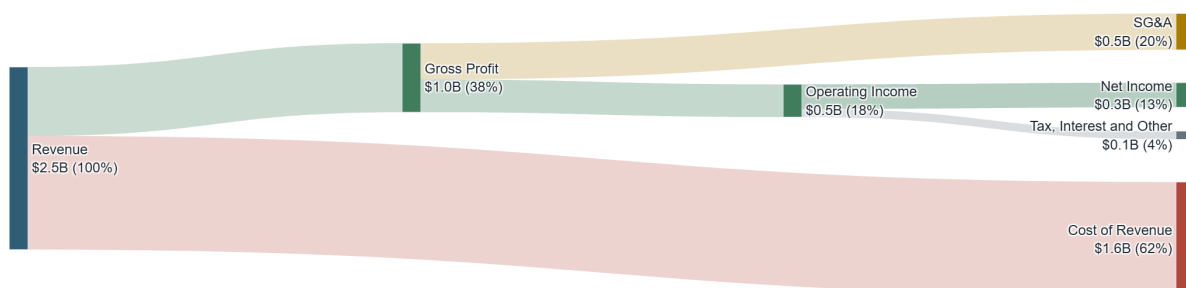


Figure 2: Revenue to Net Income, Latest Year

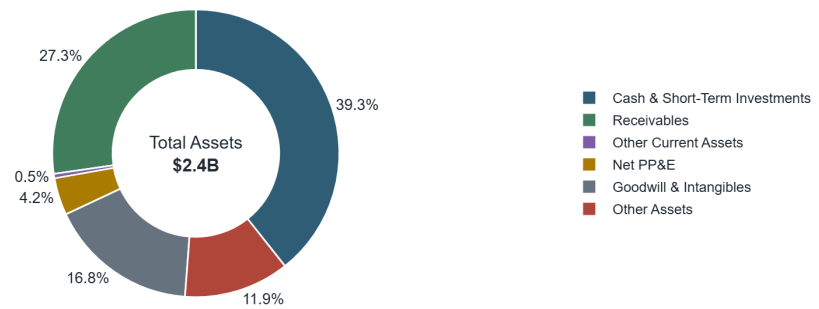


Figure 3: Composition of Total Assets

Valuation and Implied Expectations

At the ten-year median multiple, today's price implies free cash flow 36% below the current level. If cash flow instead holds, the shares are worth 57% more.

Current P/FCF (trailing)	9.80
10Y Percentile	7
10Y Median	15.34
10Y 5th Percentile	9.46
10Y 95th Percentile	37.02
Free Cash Flow Implied by That Multiple	\$382M
Free Cash Flow, Latest Reported Year	\$355M
P/FCF on Reported Cash Flow	10.55
10Y Median, All Observations	15.60
Observations Excluded as Near-Zero Cash Flow	64 of 2,358
Implied Change in Free Cash Flow	-36%
Price Move if the Multiple Reverts	+57%
Revenue Growth, 3-Year Annual	+11.1%
Share Count Growth, 3-Year Annual	+3.5%
Growth Per Share	+7.4%
What the Price Assumes	Discounting Decline

Revenue grew +11% a year over three years against a share count rising +3%, so a shareholder captured +7% of it.

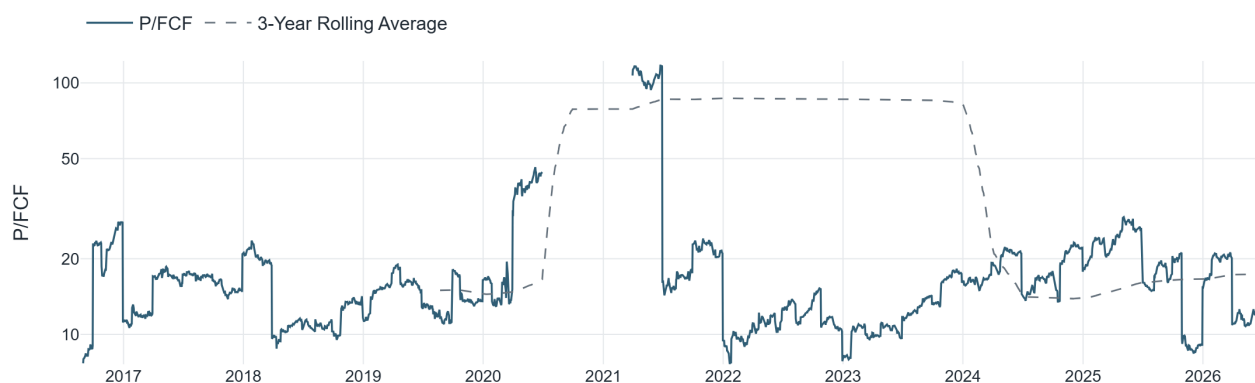


Figure 4: Price to Free Cash Flow, Ten-Year History

Relative Valuation

At 9.1 times forward earnings against a peer median of 13.0, the shares are 30% cheaper than the group.

Price / Earnings, Stride Inc (forward, consensus)	9.1x (-30% vs peers)	
Price / Earnings, Latest Reported Year	11.1x	
EV / EBITDA, Stride Inc (forward, consensus)	6.0x (-41% vs peers)	
Peer Median Price / Earnings	13.0x	
Peer Median EV / EBITDA	10.1x	
Peer Range, Price / Earnings	10.0x to 15.4x	

Peer	Price / Earnings	EV / EBITDA
Perdoceo Education	10.0x	5.8x
Grand Canyon Education	13.0x	10.1x
Laureate Education	15.4x	10.8x

Independent Fair Value

An independent model finds no moat and places the shares 42% below its fair value estimate as at 15 May 2026.

Independent quantitative equity assessment, dated 15 May 2026. This estimate is built on that model's own no-moat assumption, which this note does not share: the fair value and the moat rating are one judgement, not two.

Economic Moat	None
Star Rating	5.0
Fair Value Estimate	USD 153.50
Last Close	USD 88.29
Price / Fair Value	0.58
Uncertainty	High

Price and Drawdown

The shares sit 53% below their all-time high.

Current Drawdown	-53.4%
5th Percentile Drawdown	-54.1%
1st Percentile Drawdown	-61.4%
Max Drawdown vs 6M High	-22.5%

A 53% drawdown is deep by its own standards: the median over the past decade is 20%, and today's reading sits at the 6th percentile of that history. The shares last touched a high 361 days ago.

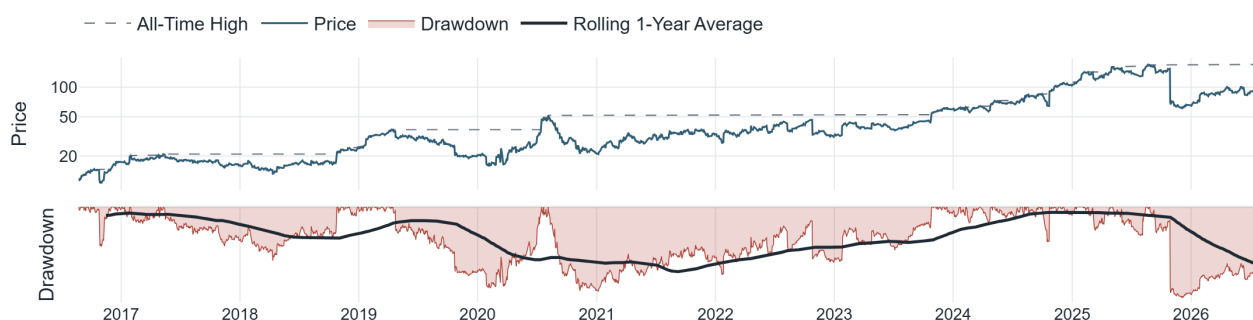


Figure 5: Price, All-Time High and Drawdown (log scale)

Competitive Position

The advantage rests on Scale Economies and Cornered Resource, an overall narrow moat.

Overall moat assessment: Narrow. Scored from the filings.

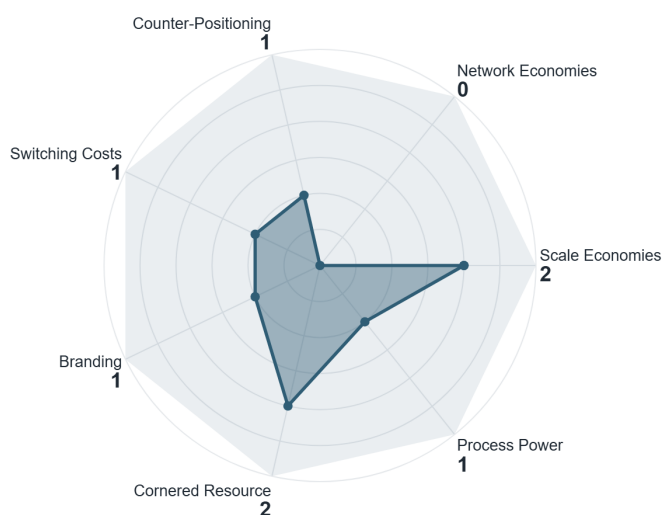


Figure 6: Competitive Advantage, Scored Zero to Three

- **Scale Economies** (2 of 3): One of the largest digital K-12 curriculum portfolios; SG&A leverage lifted operating margin from 9.0% in FY23 to 17.9% in FY26.
- **Network Economies** (0 of 3): No meaningful user-to-user network effect.
- **Counter-Positioning** (1 of 3): Virtual-first versus brick-and-mortar districts, but not a classic counter-position an incumbent could not follow.
- **Switching Costs** (1 of 3): 5-year-plus school agreements with auto-renew lock in the school, but the revenue unit is the pupil and a family faces no switching cost: in FY26 the contracts held while General Education enrolment fell 7.6%.

- **Branding** (1 of 3): Some Stride/K12 recognition, but not a price-premium brand.
- **Cornered Resource** (2 of 3): Multi-state authoriser relationships plus a deep proprietary curriculum library.
- **Process Power** (1 of 3): Platform-integrated delivery, but the FY26 replacement of the learning-management and student-information systems disrupted enrolment and exposed how fragile that layer is.

Consensus and Expected Return

2 of 4 analysts rate the shares a buy, on a target implying +47% from 80.29.

Consensus as at 31 Jul 2026.

Buys	2 (50%)
Holds	2 (50%)
Sells	0 (0%)
12M Target Price	118.20
Return Potential	+47.2%

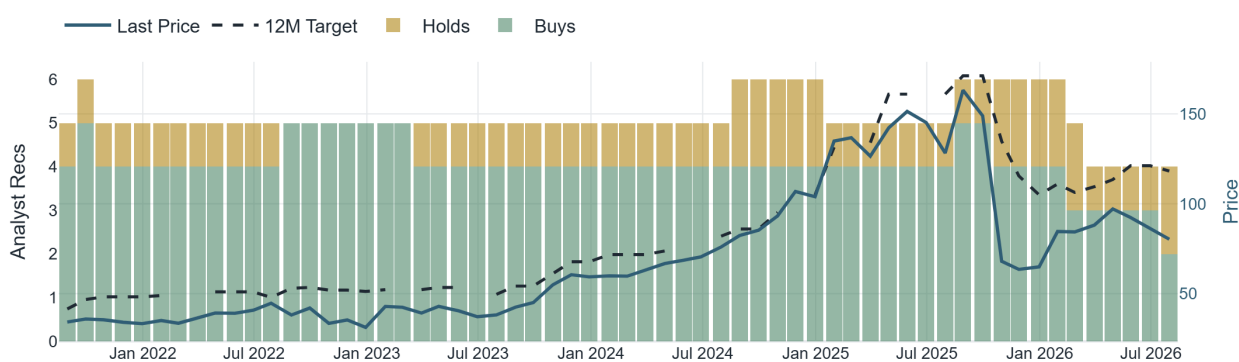


Figure 7: Consensus Recommendations and Twelve-Month Target

Return Potential

After 5 comparable readings the shares returned 51% over the next year.

Analyst-target-implied return potential, from periods within $\pm 2.5\%$ relative of the current reading (5 distinct episodes).

Current Reading	50.4%
Consensus Target Used	118.20
Price at That Observation	78.59
Historical Average	30.5%
Current vs Average	+19.9%
Peak	122.3%
Average 1-Year Return After Comparable Readings	50.6%

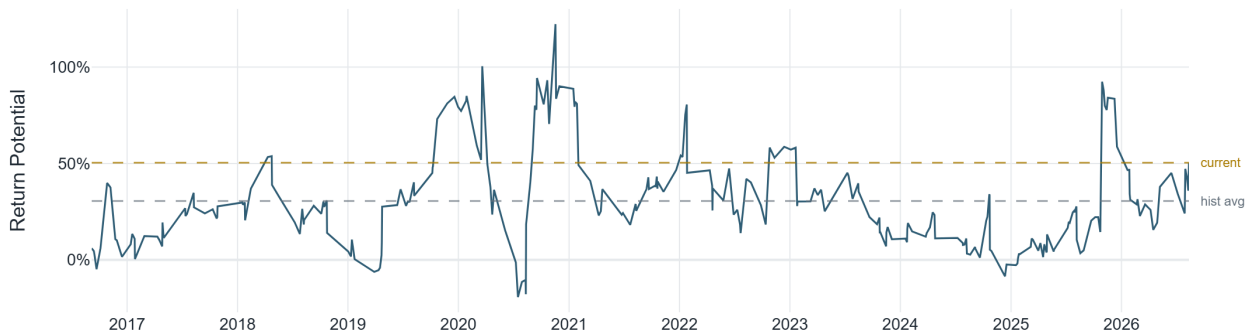


Figure 8: Analyst-Implied Return Potential, Ten Years

Qualitative Assessment

Recent Developments

As at 12 August 2026.

Stride reported its fiscal 2026 year (ended 30 Jun 2026) on 4 Aug 2026; the Form 10-K was filed the following day. The full-year figures were respectable, but the fourth quarter marked an inflection that the annual totals obscure.

Measure	FY2026	FY2025	Change
Revenue	\$2,518.1m	\$2,405.3m	+4.7%
Gross profit	\$950.6m	\$943.9m	+0.7%
Gross margin	37.75%	39.24%	-149bps
Adjusted operating income	\$498.4m	\$466.2m	+6.9%
Adjusted EPS	\$8.33	\$8.10	+2.8%
Average enrolments	243.9k	234.0k	+4.2%
Revenue per enrolment	\$9,914	\$9,677	+2.4%

Reported GAAP operating income rose 25.2%, but the comparison is distorted: fiscal 2025 carried a \$59.5m long-lived asset impairment and fiscal 2026 carried none. Excluding it, growth was approximately 7.5%.

The fourth quarter, derived as the full year less the nine months reported in the Q3 Form 10-Q, shows revenue declining year on year for the first time in this cycle:

Measure	Q4 FY2026	Q4 FY2025	Change
Revenue	\$636.1m	\$653.6m	-2.7%
Gross profit	\$217.3m	\$238.9m	-9.0%
Gross margin	34.16%	36.55%	-239bps
Adjusted operating income	\$117.8m	\$130.6m	-9.8%
Adjusted EPS	\$2.12	\$2.29	-7.4%

By segment for the fourth quarter, General Education revenue fell 9.7% against a 3.6% decline in the third quarter, so the rate of decline is accelerating in the segment that represents roughly 56% of revenue. Career Learning grew 11.1%, decelerating from approximately 16%. Adult Learning fell 31.1%. For the full year, General Education revenue was \$1,417.8m (down 2.1%) and Career Learning \$1,100.3m (up 15.0%).

The company beat consensus for the quarter on both lines, with revenue of \$636.1m against \$627.3m expected and adjusted earnings per share of \$2.12 against \$1.91 expected.

No fiscal 2027 guidance was issued. Management stated it would provide formal enrolment and financial guidance at the first-quarter results in October, citing the early stage of the enrolment season. Directional commentary indicated revenue per enrolment "relatively flat to up slightly", gross margin "flattish to last year", and enrolment growth continuing but "not necessarily at the same pace seen in prior years". Application volumes were described as strong but trailing slightly behind the prior year. Withholding an initial annual outlook at the fourth-quarter call is a departure from prior practice.

Balance sheet and cash flow: cash and securities of \$1,034.1m against long-term debt of \$418.0m and finance leases of approximately \$117m. Free cash flow was \$355.0m, down from \$372.8m, with capital expenditure up 31% to \$78.8m, of which capitalised software was \$61.6m (up 69%). The company repurchased 2.3m shares for \$188.7m during the year, with \$311.3m of authorisation remaining, extended to 31 Oct 2027. Shares outstanding were 41.56m at 31 Jul 2026.

Accounts receivable rose 18.8% to \$664.8m on revenue growth of 4.7%, lifting days sales outstanding to 96.4 from 84.9, a deterioration of 11.5 days.

Events Preceding The Result

- 15-17 Jun 2026 - Roscoe Independent School District (Texas) declined to renew Lone Star Online Academy for kindergarten through grade 8 on performance grounds, affecting approximately 12,000 students, or roughly 5% of projected enrolment. The school subsequently closed. The shares fell approximately 13-14%. The fiscal 2026 Form 10-K does not name Roscoe or Lone Star.
- 30 Jul 2026 - Robert Knowing, an eight-year board member, replaced James Rhyu as chief executive effective 29 July, six days before results. Rhyu also left the board and the chairmanship. The shares fell 14.6% from \$97.71. The Form 8-K states the departure did not arise from any disagreement over operations, policies or practices.
- 28 Oct 2025 - the origin of the drawdown. A fiscal 2026 outlook well below consensus, accompanied by disclosure of a problematic rollout of two new platforms causing elevated withdrawals and weak conversion. The shares fell approximately 50%.

Consensus And Market Positioning

Analyst coverage has thinned materially, to approximately three to five active analysts from a much larger group. The consensus rating is Hold with a mean target of approximately \$109 (range \$93 to \$125). The target trend is downward over both three and six months: the mean has moved from approximately \$170.75 to \$115.50 to \$109 over the past year. BMO Capital reiterated Hold and cut its target from \$108 to \$93 on 6 Aug 2026. Barrington has maintained a \$125 target, unchanged since April 2026. Fiscal 2026 consensus earnings per share was reduced from \$8.00 to \$7.18 during the year; reported GAAP earnings per share of \$7.14 came in below even that reduced figure.

Short interest stands at approximately 6.64m shares, or 16.47% of a 40.34m share float, with about 7.25 days to cover. Short interest has risen roughly 49% in share count since October 2025 and has not been covered into the decline.

A review of all 41 Forms 4 filed since August 2025 shows a single discretionary open-market sale, by the then chief executive on 19 Aug 2025 (13,961 shares at \$162.66, under a Rule 10b5-1 plan). The remaining transactions are grants, option conversions, gifts, and shares withheld by the issuer to cover withholding tax, which are frequently misreported by aggregators as sales. There were no open-market purchases by any insider during the period, including throughout the decline from \$171 to a low of \$60.62.

Regulatory And Legal

The securities class action (MacMahon v. Stride, E.D. Va., filed 11 Nov 2025) was largely dismissed on 18 Jun 2026, with eleven statements dismissed with prejudice and five without, subject to a 30-day window to replead. Whether a second amended complaint was filed by the July deadline is unverified. Separately, the North Carolina State Board of Education asked the legislature in March 2026 to replace county-based virtual charter funding with a statewide per-pupil rate, which would affect North Carolina Virtual Academy. A 2025 Arkansas law requires charter revocation after three consecutive years of poor performance.

At \$79.09 the shares trade on approximately 9.5 times adjusted fiscal 2026 earnings, 4.5 times adjusted EBITDA on an enterprise value of roughly \$2.79bn, and a free cash flow yield on enterprise value of about 12.7%.

FY2026 Form 10-K

As at 12 August 2026.

What to Watch

- Free cash flow per share, running at about USD 8.07. On the long-run multiple, USD 5.16 supports today's price. The next cash flow statement is the most direct test.
- Price behaviour. The shares are already well below their high. A move to a new low would take the drawdown outside the range within which buying this company has historically paid, and would be the clearest signal that the market is pricing something the figures in this report do not yet capture.